

**ONTERRIS INC ONT**

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by

PZGR39

|                      |       |          | 2026 | 2027 |
|----------------------|-------|----------|------|------|
| Price:               | 22.92 | EPS      | 0    | 0    |
| Shares Out. (in M):  | 36    | P/E      | 0    | 0    |
| Market Cap (in \$M): | 830   | P/FCF    | 0    | 0    |
| Net Debt (in \$M):   | 377   | EBIT     | 0    | 0    |
| TEV (in \$M):        | 1,207 | TEV/EBIT | 0    | 0    |

**Description**

Onterris (NYSE:ONT), formerly known as Montrose Environmental Group, is a beaten down environmental consulting, services, and response company trading at just 8.6x NTM EBITDA that we believe is deeply undervalued today due to misplaced fears about recent EPA/Supreme Court rulings and a short report. We believe that over the next 5 years, ONT will rerate towards other environmental consulting/service peers at ~13x while over doubling its EBITDA. Our PT of ~\$72/share represents a ~210% upside vs the stock price today of \$23.

**Background:**

Onterris Inc was founded in 2012 and IPO'd in July 2020 at ~\$230mm of revenue. They are an environmental services roll up, with a platform covering measurement, consulting, and treatment. Revenue has compounded at 20% over the last 5 years, with 90% from private sector customers. Mgmt targets a 7-9% organic growth rate with 10-15% inorganic contribution.

The business operates in 2 segments: Consulting & Treatment and Measurement & Analysis. Of note, the Consulting & Treatment segment is a combination of two legacy segments (Assessment, Permitting & Response and Remediation & Reuse), which the company combined in Q1 2026.

Consulting & Treatment combines environmental/regulatory consulting, a highly variable environmental emergency response business, and their fast growing PFAS water treatment business as well as soil/air remediation services. This segment has HSD/low DD organic growth rates but has a lumpier headline growth profile due to acquisitions and irregular emergency response revenue.

Measurement & Analysis offers soil, air, and water quality testing and analysis through a lab network spanning the US and Canada. As the segment is more mature, it has MSD/HSD organic growth rates.

**Timeline:**

April 10, 2024 - Biden EPA places limits on maximum allowable levels of PFAS in drinking water. This is set to 4 parts per trillion (ppt) for PFOA and PFOS and 10ppt for GenX, PFNA, and PFHxS. Compliance is mandated by 2029.

April 17, 2024 - Biden EPA designates PFOA and PFOS as hazardous substances under CERCLA, mandating immediate reporting of releases over 1 pound and placing cleanup liability on responsible parties.

June 28, 2024 - Supreme Court overturns Chevron deference doctrine in Loper Bright v. Raimondo.

Sept 30, 2024 - Jehoshaphat Research short report

May 14, 2025 - Trump EPA keeps PFOA and PFOS limits unchanged, removes limits on the other 3 PFAS (GenX, PFNA, PFHxS), and extends compliance deadline to 2031.

Sept 17, 2025 - Trump EPA retains CERCLA designation for PFOA and PFOS

**Why Now**

ONT's first major drawdown occurred on June 28, 2024 when the Supreme Court overturned the Chevron doctrine in Loper Bright v. Raimondo. Chevron required courts to defer to regulatory agencies' "reasonable interpretation" of ambiguous statutes. The overturning ignited fears that without Chevron, the

interpretation of environmental regulations was now in the hands of courts, weakening the regulatory power of the EPA. This was followed by Trump winning the election in November and a subsequent review of Biden-era PFAS regulations. This resulted in the stock drawing down from \$45 in June 2024 to \$11 by April 2025.

We believe these concerns were overblown and ultimately resulted in a net tailwind for ONT's business. First, the Chevron doctrine only bounded federal courts/agencies - states responded preemptively to the weakening of federal regulatory power with a firehose of state-level regulations. In 2025, 29 states adopted independent PFAS limits and 6 more are considering limits in 2026, with the remaining states being mostly smaller, less-industrialized ones. Second, the EPA's partial rollback ultimately kept the two most important items: hard limits on PFOS/PFOA levels and CERCLA designation. The EPA additionally proposed UCMR 6 on July 1, 2026, potentially enforcing mandatory nationwide monitoring for 30 unregulated contaminants, including 4 previously unmonitored short-chain PFAS, which would start in 2028 and applies to all water systems servicing >3,300 people. Finally, the devolution of environmental regulations to the states will significantly benefit ONT's consulting and advisory business, as a patchwork of complex and evolving state-level regulations is far more difficult to navigate than the previous unified standard.

We would also like to discuss the short report from Jehosaphat Research published Sept 30, 2024. The report alleged several serious issues with the company, namely that 1) organic growth was masked by acquisition accounting and was structurally negative and 2) FCF and Adj. EBITDA were overstated by ~80% due to high SBC and recurring add-backs. Onterris responded in Q4 2024 by cancelling all outstanding mgmt SARs without compensation, removing all M&A incentives from mgmt's STIP, pausing M&A for FY2025 to focus on unifying and improving the core business, undergoing an independent audit, and cleaning up the balance sheet by committing to redeem all outstanding preferred equity by EOFY25.

With these measures in place, ONT reported FY25 results of 12.7% organic growth, 93% adj. EBITDA to OCF conversion, SBC down from 9.3% of sales to 5.1% of sales, all outstanding preferreds redeemed on July 1, 2025 (6 months ahead of schedule), and a clean audit result. Management adopted a remedy for every critique and the company now has a clean balance sheet, improved governance, reasonable SBC plans, and a validated organic growth/cash flow profile.

Additionally, the board granted 1.8mm RSUs during the Dec 2021 peak, of which half vested in Dec 2025 with the remaining half due to vest Dec 2026. This will result in SBC continuing to fall from 5.1% of sales today to ~3% in FY27 and further declining from there.

## Valuation

Today, ONT trades at just 8.6x NTM EBITDA vs environmental services peers at ~13x. Mgmt has guided for a LT organic growth rate of 7-9%, and expects to restart bolt-on acquisitions this year. We believe ONT will be able to grow total revenue at a low-teens CAGR from accelerating contribution from the PFAS water treatment business and MSD inorganic contribution, resulting in FY30 revenue of \$1.4bn vs \$830mm today. With operating leverage and expected margin improvements from the FY25 investments on top of the SBC winddown, we expect EBITDA margin to expand from 14% in FY25 to 19% by FY30. This should result in FY30 EBITDA of \$268mm vs \$116mm today and an implied share price of \$72/share.

| 2. INCOME STATEMENT — ANNUAL (FY2020A–FY2030E) |                 |                |                 |                 |                 |                |                |                |                  |                  |                  |
|------------------------------------------------|-----------------|----------------|-----------------|-----------------|-----------------|----------------|----------------|----------------|------------------|------------------|------------------|
| USD thousands                                  | FY2020A         | FY2021A        | FY2022A         | FY2023A         | FY2024A         | FY2025A        | FY2026E        | FY2027E        | FY2028E          | FY2029E          | FY2030E          |
| C&T organic revenue                            | 28,436          | 132,955        | 241,984         | 278,713         | 339,779         | 494,928        | 550,416        | 605,338        | 675,366          | 759,095          | 854,922          |
| C&T organic revenue growth YoY %               |                 | 19.0%          | 33.9%           | (1.9%)          | 1.2%            | 16.7%          | 8.4%           | 8.5%           | 8.0%             | 8.0%             | 8.0%             |
| Emergency response revenue                     | 65,000          | 212,500        | 88,000          | 91,400          | 48,000          | 77,000         | 60,000         | 55,000         | 55,000           | 55,000           | 55,000           |
| Acquired revenue — C&T                         | 83,250          | 47,750         | 42,000          | 57,000          | 84,250          | 12,750         | 7,500          | 20,000         | 27,500           | 32,500           | 37,500           |
| <b>C&amp;T total revenue</b>                   | <b>176,686</b>  | <b>393,205</b> | <b>371,984</b>  | <b>427,113</b>  | <b>472,029</b>  | <b>584,678</b> | <b>617,916</b> | <b>680,338</b> | <b>757,866</b>   | <b>846,595</b>   | <b>947,422</b>   |
| C&T revenue growth YoY %                       |                 | 122.5%         | -5.4%           | 14.8%           | 10.5%           | 23.9%          | 5.7%           | 10.1%          | 11.4%            | 11.7%            | 11.9%            |
| M&A organic revenue                            | 150,307         | 141,458        | 155,182         | 183,345         | 218,366         | 239,860        | 258,119        | 284,212        | 325,507          | 377,718          | 438,933          |
| M&A organic revenue growth YoY %               |                 | (6.7%)         | 1.3%            | 6.3%            | 10.8%           | 6.9%           | 5.0%           | 7.0%           | 7.0%             | 7.0%             | 7.0%             |
| Acquired revenue — M&A                         | 1,250           | 11,750         | 17,250          | 13,750          | 6,000           | 6,000          | 7,500          | 20,000         | 27,500           | 32,500           | 37,500           |
| <b>M&amp;A total revenue</b>                   | <b>151,557</b>  | <b>153,208</b> | <b>172,432</b>  | <b>197,095</b>  | <b>224,366</b>  | <b>245,860</b> | <b>265,619</b> | <b>304,212</b> | <b>353,007</b>   | <b>410,218</b>   | <b>476,433</b>   |
| M&A revenue growth YoY %                       |                 | 1.1%           | 12.5%           | 14.3%           | 13.8%           | 9.6%           | 8.0%           | 14.5%          | 16.0%            | 16.2%            | 16.1%            |
| C&T adj EBITDA                                 | 33,146          | 76,454         | 68,074          | 79,235          | 86,362          | 104,733        | 120,494        | 139,469        | 162,941          | 186,251          | 213,170          |
| C&T adj EBITDA margin %                        | 18.8%           | 19.4%          | 18.3%           | 18.6%           | 18.3%           | 17.9%          | 19.5%          | 20.5%          | 21.5%            | 22.0%            | 22.5%            |
| M&A adj EBITDA                                 | 39,386          | 31,270         | 31,588          | 37,217          | 50,521          | 64,351         | 63,749         | 73,772         | 86,487           | 101,529          | 119,108          |
| M&A adj EBITDA margin %                        | 26.0%           | 20.4%          | 18.3%           | 18.9%           | 22.5%           | 26.2%          | 24.0%          | 24.3%          | 24.5%            | 24.8%            | 25.0%            |
| <b>Segment adj EBITDA</b>                      | <b>72,532</b>   | <b>107,724</b> | <b>99,662</b>   | <b>116,452</b>  | <b>136,883</b>  | <b>169,084</b> | <b>184,242</b> | <b>213,241</b> | <b>249,428</b>   | <b>287,780</b>   | <b>332,278</b>   |
| Corporate & other                              | (18,059)        | (30,081)       | (31,212)        | (37,876)        | (41,092)        | (52,920)       | (55,663)       | (57,104)       | (58,876)         | (60,327)         | (64,073)         |
| Corporate & other % of revenue                 | (5.5%)          | (5.5%)         | (5.7%)          | (6.1%)          | (5.9%)          | (6.4%)         | (6.3%)         | (5.8%)         | (5.3%)           | (4.8%)           | (4.5%)           |
| <b>Revenues</b>                                | <b>328,243</b>  | <b>546,413</b> | <b>544,416</b>  | <b>624,208</b>  | <b>696,395</b>  | <b>830,538</b> | <b>883,535</b> | <b>984,551</b> | <b>1,110,873</b> | <b>1,256,813</b> | <b>1,423,855</b> |
| Revenue growth YoY %                           |                 | 66.5%          | -0.4%           | 14.7%           | 11.6%           | 19.3%          | 6.4%           | 11.4%          | 12.8%            | 13.1%            | 13.3%            |
| Cost of revenues & SG&A (excl. D&A)            | 294,130         | 486,686        | 528,177         | 606,764         | 679,820         | 786,998        | 785,879        | 857,951        | 952,537          | 1,064,551        | 1,194,095        |
| Fair value changes in contingencies            | -               | -              | -               | 84              | 534             | 900            | -              | -              | -                | -                | -                |
| Other operating items (impairments / one-offs) | (19,850)        | (24,372)       | 3,227           | -               | -               | -              | -              | -              | -                | -                | -                |
| Depreciation & amortization                    | 37,274          | 44,810         | 47,479          | 45,780          | 52,762          | 50,915         | 48,321         | 48,645         | 49,550           | 50,907           | 52,749           |
| <b>Operating income (EBIT)</b>                 | <b>(23,011)</b> | <b>(9,455)</b> | <b>(28,013)</b> | <b>(28,420)</b> | <b>(36,721)</b> | <b>11,725</b>  | <b>49,334</b>  | <b>77,956</b>  | <b>108,786</b>   | <b>141,355</b>   | <b>177,012</b>   |
| Operating margin %                             | -7.0%           | -1.7%          | -5.1%           | -4.6%           | -5.3%           | 1.4%           | 5.6%           | 7.9%           | 9.8%             | 11.2%            | 12.4%            |
| <b>Adjusted EBITDA</b>                         | <b>54,476</b>   | <b>77,642</b>  | <b>68,450</b>   | <b>78,576</b>   | <b>95,788</b>   | <b>116,164</b> | <b>128,579</b> | <b>156,137</b> | <b>190,552</b>   | <b>227,453</b>   | <b>268,205</b>   |
| Adj EBITDA margin %                            | 16.6%           | 14.2%          | 12.6%           | 12.6%           | 13.8%           | 14.0%          | 14.6%          | 15.9%          | 17.2%            | 18.1%            | 18.8%            |
| Adj EBITDA growth YoY %                        |                 | 42.5%          | -11.8%          | 14.8%           | 21.9%           | 21.3%          | 10.7%          | 21.4%          | 22.0%            | 19.4%            | 17.9%            |

|               |        |
|---------------|--------|
| FY30 EBITDA   | 268.2  |
| Multiple      | 13     |
| EV            | 3486.7 |
| Net Debt      | 321    |
| MC            | 3165.3 |
| s/o           | 44     |
| Implied price | 71.99  |

In our bear case, if we assume no multiple rerating, a HSD revenue CAGR instead of low-teens, and FY30 EBITDA margins of 16% (vs mgmt guide of 300bps of margin expansion over next 3 years), shares should still trade at \$32 or a 60% return over 5 years.

## Risks

ONT's emergency response segment is historically volatile and comes in at lower margins than the rest of the business. This can be seen most clearly in 2021-2022 revenue, where a dramatic surge and reversal of COVID emergency response revenue distorted revenue growth numbers. Mgmt has guided emergency response revenue moving forward to be \$50-\$70mm annually, but large events could cause a similar dynamic in our projection period.

Additionally, though we believe mgmt has internalized the lessons from the 2025 pause and is guiding for bolt-ons moving forward, either a very large acquisition or a much slower pace of acquisitions would materially change our growth expectations.

## Conclusions

We view ONT as compelling, "heads I lose nothing, tails I win" opportunity. The market has severely and unfairly punished the stock off the back of recent EPA/SC rulings that will result in a several net tailwinds for the company, as well as a short report that has been fully redressed. The management team is well aware of the 2021-2024 missteps and we believe the company will be able to drive several years of ~20% EBITDA growth over the next 5 years, resulting in a tripling of the stock over that time period.

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## Catalyst

EBITDA inflection in Q4 2026

## Messages

No messages